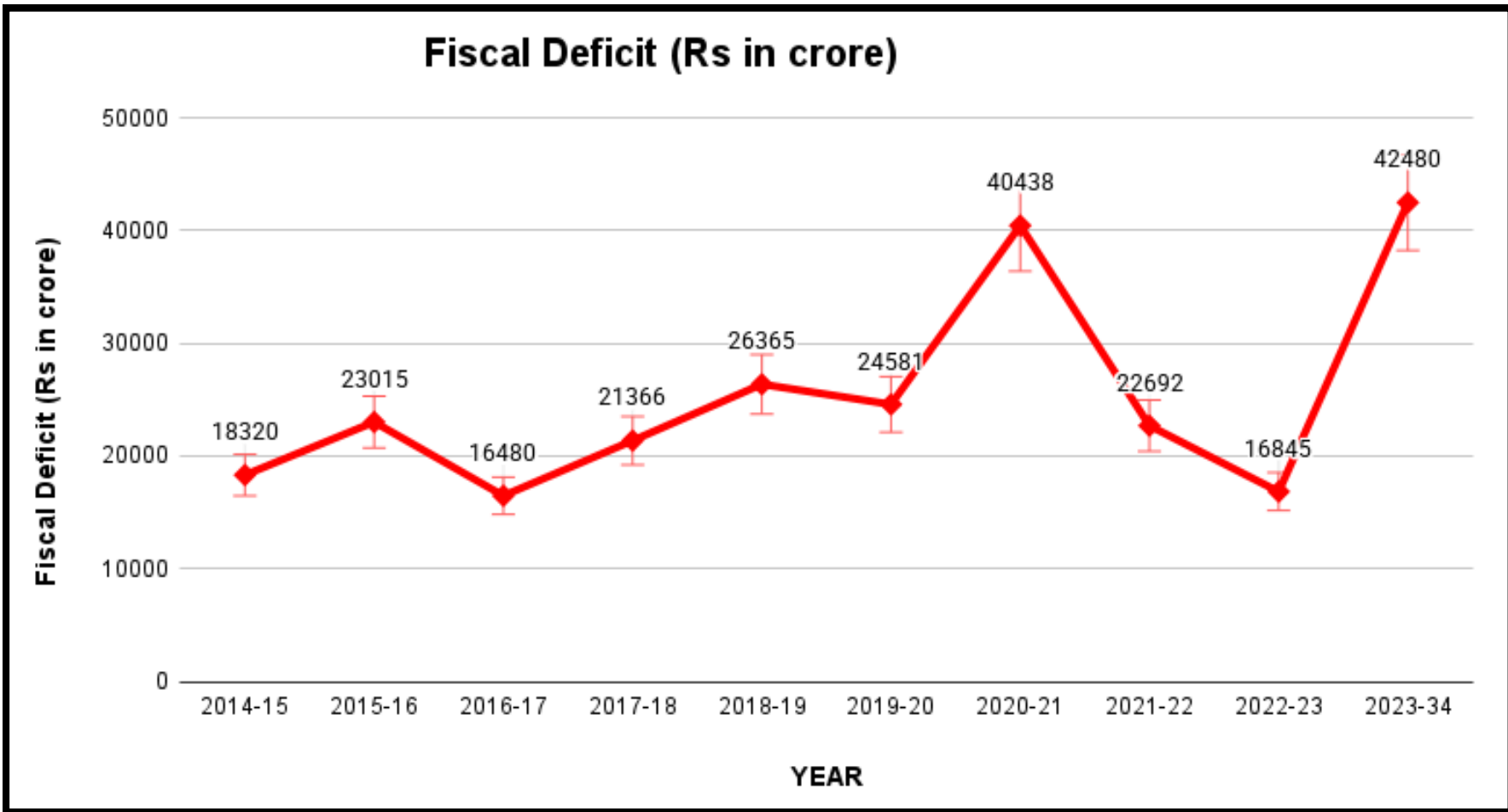
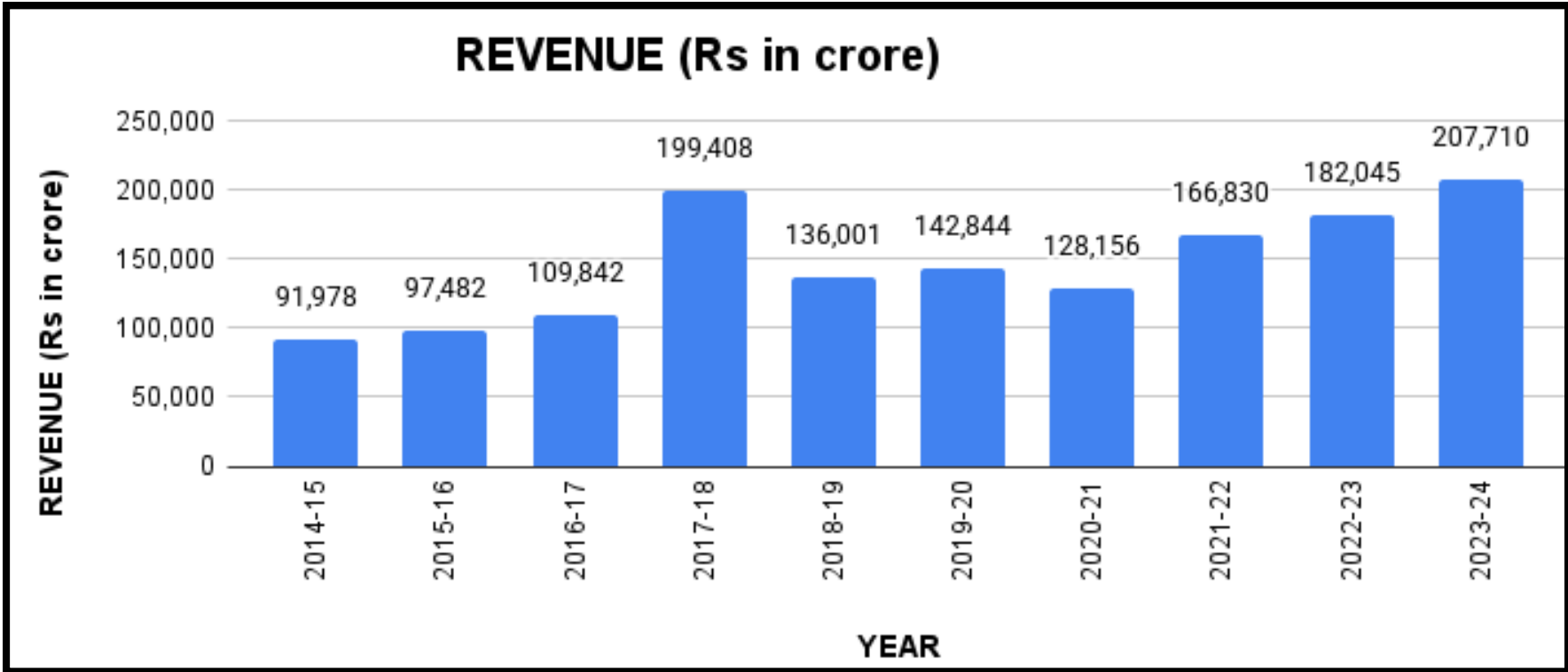




Gujarat

*State Fiscal Analysis
& Investment Framework*

GUJARAT'S ECONOMIC PULSE: Revenue Rise, Deficit Fluctuations & Strong Recovery.



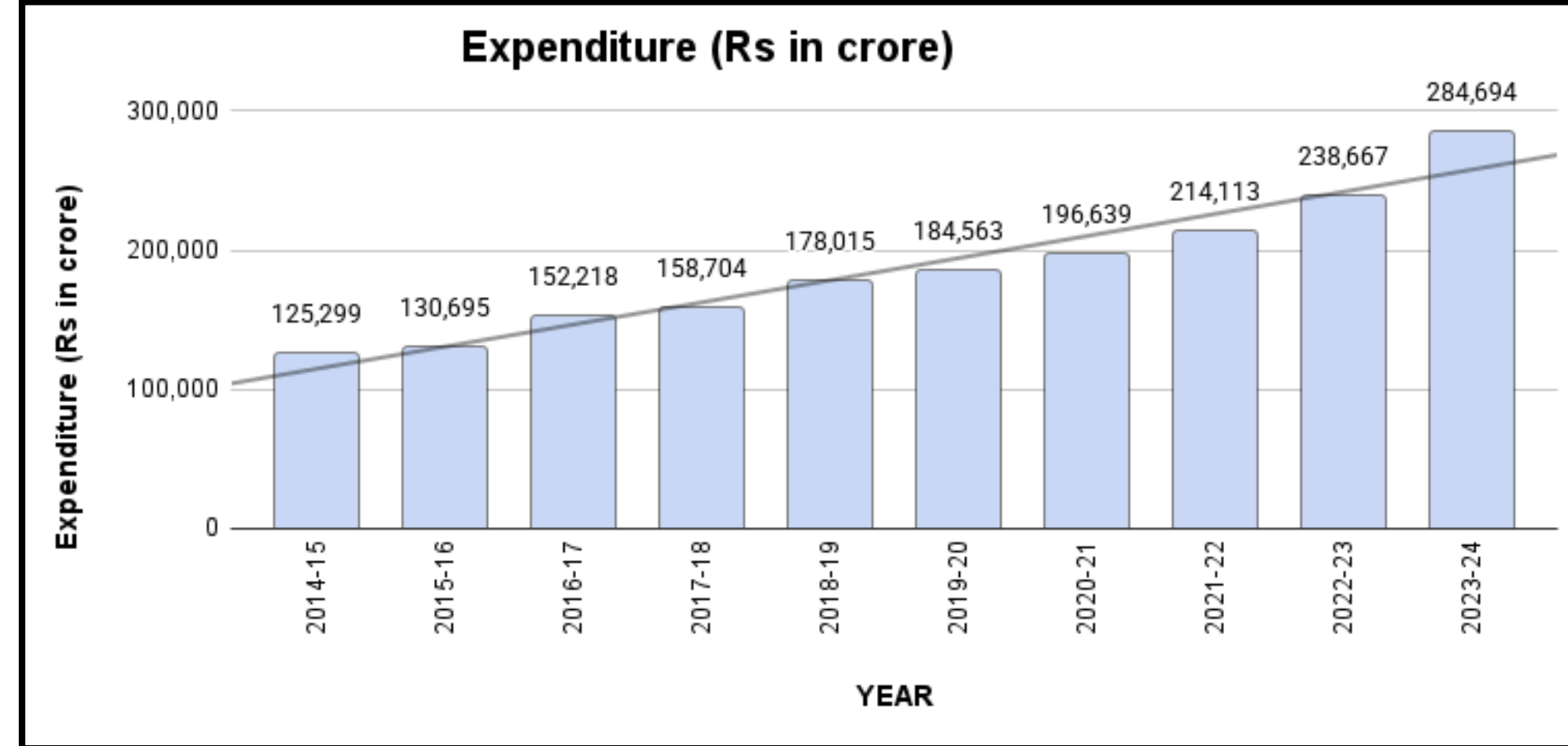
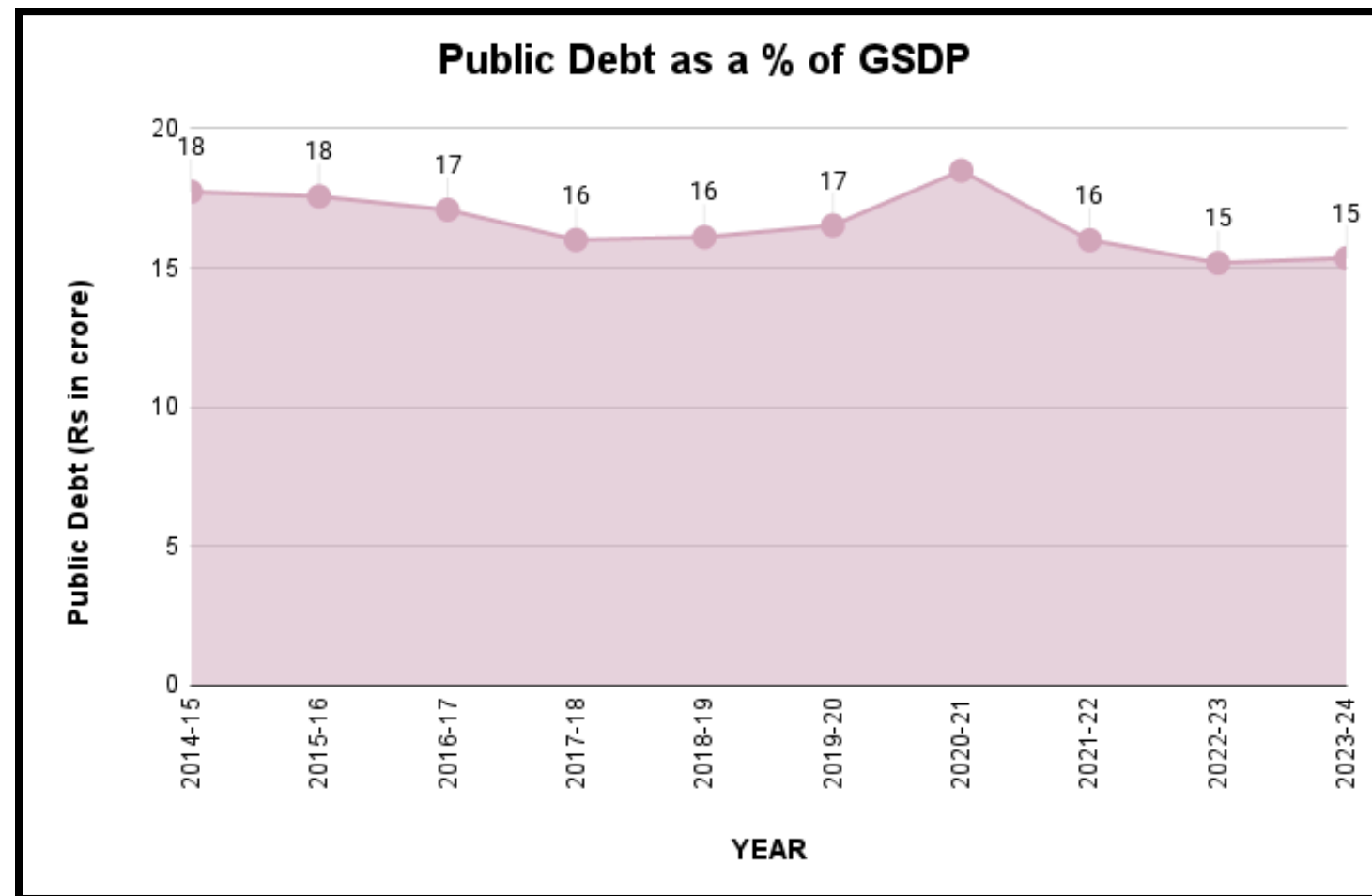
KEY INSIGHTS

- Gujarat's economy has shown **resilience & growth** over the past decade.
- The **revenues are increasing** over the years reflecting **positive financial activity** within the state.
- While the overall trend is positive, **noticeable fluctuations took place during 2020-21** due to **external factors** like the pandemic- Covid-19.
- Post the pandemic, Gujarat has been able to **recover quickly** & is estimated to **grow even more**.

- Gujarat's **fiscal deficit has fluctuated over the years**, indicating **varying levels** of government spending & revenue management.
- Rise in expenditure of salary & pension due to the implementation of **Seventh Pay Commission** and **revision in allowances** w.e.f. October 2022 affected the **revenue surplus & fiscal deficit**.

[Link to Gujarat's 10 years fiscal data](#)

GUJARAT'S FISCAL BALANCE: Controlled Debt, Strategic Spending & Economic Resilience



- Gujarat has maintained a relatively consistent public debt-to-GSDP ratio, indicating **sound fiscal management**.
- The fluctuations observed are relatively minor, suggesting that the **state's debt has remained manageable** in relation to its economic output.
- Even though the **public debt to GSDP % is relatively stable**, the **public debt in absolute terms is high** which points to the fact that the stability might be there as GSDP is also increasing.

- Total expenditure has grown at an **annualized growth of 10.74%**, which is lower than growth rate of GSDP.
- The strategy of the Government is to **effectively control non-developmental expenditure** to enhance resource allocation to development activity
- This is the result of **recalibration of government consumption expenses** and according **priority to plan projects** promoting **social, educational and financial sectors**.

GUJARAT SECTOR IDENTIFICATION FRAMEWORK : Chemicals & Petrochemicals Sector leads the priority



- ✓

Labour rich state with skilled workforce
- ✓

Global connectivity & lower transportation costs
- ✓

Skill development & employment generation programs
- ✓

Key driver of India’s export economy

STATE SELCTION

GSDP Growth Rate

Contribution to India’s GDP

State specific policies

Ease of doing business

SECTOR ANALYSIS (based on the following parameters)

Growth Potential (30%): Investors seek sectors with strong projected growth to maximize returns. High growth potential indicates increasing demand, market expansion, and innovation.

Infrastructure (20%): Adequate infrastructure is essential for a sector's efficient operation and expansion. Poor infrastructure can hinder growth, increase costs, and create bottlenecks.

Government Policies(25%): Government policies like tax incentives, regulations, subsidies can significantly impact a sector's attractiveness. Favorable policies can stimulate investment, while unfavorable ones can deter it.

Ease of doing business (15%): A streamlined regulatory environment, efficient administrative processes, and access to resources contribute to the ease of doing business. This reduces operational hurdles and attracts investment

Raw Material Availability(10%): Raw material availability ensures cost-effective, continuous production, drives economic growth, and provides a competitive edge across various sectors.

RISK ASSESSMENT & PRIORITIZATION (PORTER’S 5 FORCES)

Chemicals & Petrochemicals sector has the highest weighted score and should be accorded the highest priority for investment followed by **Renewable Energy** sector.

Investor Facilitation Portal by government of Gujarat

Gujarat Single Window Clearance Act, 2017

10.2%←

8.2%←

[Link to the Weighted Score Matrix for Gujarat](#)

Weighted Score= Weight assigned to each parameter*Score(1-5) to each parameter for that sector

1. **State to be selected** based on analysis of parameters like GSDP growth rate, state specific policies, etc.
2. **Top contributing sectors to be analysed** based on parameters like growth potential, government policies, infrastructure, etc
3. **Scoring the sectors** on a scale of 1 to 5 post secondary research and analysis from government data.
4. **Prioritization & Risk Assessment.**

SECTOR	Growth Potential	Infrastructure	Government Policies	Raw Material Availability	Export Potential	Weighted Sum
Chemicals & Petrochemicals	5	4	4	5	5	4.55
Gems & Jewellery	3	3	4	4	4	3.5
Renewable Energy	4	4	5	3	4	4.1
Textiles	4	3	4	5	4	3.95

Sector	Growth Potential	Infrastructure	Government Policies	Raw Material Availability	Export Potential
Chemicals & Petrochemicals	Market Size: 9.3% CAGR. Contributes 31% to India's chemicals. Vibrant Gujarat Global Summit has seen the launch of 3,256 projects in the chemicals and petrochemicals sector.	1. 4 PCPIRs- Policy Resolution for Promotion of Petroleum, Chemicals and Petrochemical Investment Regions (PCPIRs) 2. India's 1st Chemical Port in Dahej 3. Presence of clusters and downstream companies of derivatives, plastics and polymers Diamond Research & Mercantile (DREAM) City - World's largest single complex diamond bourse built over 2000 acres. 2. The development of Special Economic Zones (SEZs) and Gems & Jewellery Parks, such as the Gujarat Hira Bourse (GHB) and Surat SEZ	1. Assistance under Gujarat Industrial Policy, 2015 2. Assistance under General Incentive Scheme, 2016 3. Assistance to Plastics Industry	Rich availability of natural resources and basic feedstocks facilitate production of a large number of downstream chemical products. Availability of limestone, salt, petroleum and natural gas make Gujarat a leading manufacturer of basic chemicals, petrochemicals and fertilizers	1. Leading exporter of 'Made in India' products and intermediates across the value chain 2. Gujarat's major exports include: Petroleum Products, Organic Chemicals, Dyes and Aero Chemicals
Gems & Jewellery	72% share in world's share of processed diamonds Market Growth: 4.93% CAGR	1. Multiple solar parks have been approved in Gujarat under the Solar Park Scheme such as Dholera (5GW), Raghunesda (700 MW) & Hansad	1. Design Centres 2. Task Facilities 3. FDI policy which allows 100% FDI and 74% in exploration and mining of diamonds and precious stones and 100% for gold and silver and minerals exploration, mining, metallurgy	1. The state is home to a large number of skilled craftsmen who contribute to the quality and uniqueness of the products. 2. More than nine lakh people are employed in the Gems and Jewellery industry in Surat	1. 80% share in India's Diamond exports. 2. Surat accounts for 65% share in India's Diamond trade.
Renewable Energy	Non-conventional energy has received FDI inflow of US \$ 6.26 Bn	1. Multiple solar parks have been approved in Gujarat under the Solar Park Scheme such as Dholera (5GW), Raghunesda (700 MW) & Hansad	1. Subsidy of INR 10,000 per kW for installing residential rooftop solar systems at private residences, with maximum limit	Gujarat had 48.5 GW of installed power capacity as of 31 August 2023, of which 21.7 GW came from renewable sources (including 10.4 GW of solar capacity) 10	1. Special incentives for exports from India in renewable energy technology under renewable sector-specific SEZ 2. India has taken a lead in the
Textiles	Market Size: ₹ 100,000 Cr (13.5 Bn US\$) Expected Growth Rate 10-12% CAGR Total investment in the sector	1. Textile Parks 2. Textile SEZs 3. Industrial Training Institutes	1. Gujarat Garments & Apparel Policy 2. Gujarat Textile Policy 3. Policy driven approach has yielded investments more	Abundant supply of raw materials crucial to the textile industry, including cotton, silk, and wool	Textiles from Gujarat exported to about 20 international destinations

Thank you !

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